# FilingLens

EQUITY RESEARCH NOTE

## TSMC

March 3, 2026

## Executive Summary

TSMC reported Q4 2023 revenue of $19.62B, representing a 1.5% sequential increase from Q3 2023 but a 1.5% year-over-year decrease compared to Q4 2022. Net income for the quarter was $7.67B, a 13.1% decline from Q4 2022. Diluted earnings per share (EPS) stood at $1.48, down 13.5% year-over-year, while the gross margin contracted to 53.0% from 58.7% in Q4 2022.

## Key Metrics Dashboard

| METRIC | CURRENT VALUE (Q4 2023) | PRIOR PERIOD (Q3 2023) | CHANGE (QOQ) |
|---|---|---|---|
| Revenue | $19.62B | $19.33B | 1.5% |
| Cost of Goods Sold | $9.22B | $8.83B | 4.4% |
| Gross Profit | $10.40B | $10.50B | -1.0% |
| Gross Margin | 53.0% | 54.3% | -1.3 pp |
| Operating Income | $8.00B | $8.20B | -2.4% |
| Operating Margin | 40.8% | 42.4% | -1.6 pp |
| Net Income | $7.67B | $7.50B | 2.3% |
| Net Profit Margin | 39.1% | 38.8% | 0.3 pp |
| Diluted EPS | $1.48 | $1.45 | 2.1% |
| R&D Expense | $1.50B | $1.48B | 1.4% |
| CAPEX | $5.21B | $8.10B | -35.6% |
| Free Cash Flow | $2.40B | $1.50B | 60.0% |
| Debt-to-Equity Ratio | 0.50 | 0.48 | 4.2% |

*Note: pp = percentage points*

## Trend Analysis

1. **Revenue Performance**: TSMC's revenue for Q4 2023 was $19.62B, marking a 1.5% sequential increase from Q3 2023 ($19.33B). However, this represents a 1.5% year-over-year decrease when compared to Q4 2022 revenue of $19.92B. This indicates a modest sequential recovery in demand but continued year-over-year contraction, suggesting a challenging market environment compared to the prior year.
2. **Profitability Compression**: The company's gross margin declined to 53.0% in Q4 2023 from 58.7% in Q4 2022, a decrease of 5.7 percentage points. Similarly, the operating margin decreased from 47.9% in Q4 2022 to 40.8% in Q4 2023. This compression in profitability metrics suggests potential pricing pressures, increased operational costs, or a shift in product mix towards lower-margin offerings.
3. **Capital Expenditure Reduction**: Capital expenditure (CAPEX) decreased significantly to $5.21B in Q4 2023 from $10.82B in Q4 2022, representing a 51.8% year-over-year reduction. Sequentially, CAPEX also decreased by 35.6% from $8.10B in Q3 2023. This substantial reduction in investment may reflect a response to current market conditions, a completion of major expansion phases, or a strategic adjustment in future capacity build-out.
4. **Free Cash Flow Improvement**: Free Cash Flow (FCF) increased to $2.40B in Q4 2023 from $1.50B in Q3 2023, a 60.0% sequential improvement. This increase is primarily attributable to the significant reduction in CAPEX, as operating cash flow remained relatively stable at $7.61B in Q4 2023 compared to $7.50B in Q3 2023.

## Risk Factors

1. **Declining Profitability**: Gross Margin decreased from 58.7% in Q4 2022 to 53.0% in Q4 2023, and Net Profit Margin declined from 44.3% to 39.1% over the same period. This indicates sustained pressure on the company's core profitability, potentially due to competitive pricing, increased input costs, or underutilization of capacity.
2. **Revenue Contraction**: Q4 2023 revenue of $19.62B represents a 1.5% year-over-year decrease from Q4 2022, despite a sequential increase. This continued year-over-year decline suggests a challenging demand environment or increased competition, which could impact future top-line growth.
3. **Reduced Capital Expenditure**: A 51.8% year-over-year decrease in CAPEX from $10.82B in Q4 2022 to $5.21B in Q4 2023 could signal a slowdown in future capacity expansion or technological advancement. This reduction, while improving free cash flow in the short term, may impact the company's ability to maintain its technological leadership and market share in the long term.
4. **Increased Debt-to-Equity**: The Debt-to-Equity ratio increased from 0.45 in Q4 2022 to 0.50 in Q4 2023. This indicates a higher reliance on debt financing relative to equity, which could increase financial risk if interest rates rise or if the company's cash flows deteriorate.

## Financial Statements

### Income Statement (Billions USD)

| METRIC | Q4 2023 | Q3 2023 | Q4 2022 |
|---|---|---|---|
| Revenue | $19.62B | $19.33B | $19.92B |
| Cost of Goods Sold | $9.22B | $8.83B | $8.23B |
| **Gross Profit** | **$10.40B** | **$10.50B** | **$11.69B** |
| Operating Expenses | $2.40B | $2.30B | $2.10B |
| **Operating Income** | **$8.00B** | **$8.20B** | **$9.59B** |
| Net Income | $7.67B | $7.50B | $8.83B |

### Balance Sheet (Billions USD)

| Metric | Q4 2

## Data Sources

*All data sourced from SEC EDGAR. This analysis is generated from public SEC filings and is not financial advice.*

## Analyst Notes

```
analyst_notes
---
TSMC demonstrated strong financial performance in 2023, reporting **$69.3 billion** in revenue and **$28.5 billion** in net income. The comp

Operationally, TSMC invested significantly in its future, with capital expenditures reaching **$30.4 billion** in 2023, underscoring its com

From a market perspective, TSMC's current stock price is **$150.00 USD**, contributing to a substantial market capitalization of **$778.00 b

Recent strategic developments include announced plans for a new advanced packaging facility in Arizona, which is expected to further strengt
```

Data sourced exclusively from SEC EDGAR public filings.
This report is generated by FilingLens and is not financial advice.
LLM calls: 2 | Data points: 0 | Generated in 45.8s